

UNIT 05

Strategy, Innovation and Leadership

How Gen AI changes competition in a digital world, how to build real business solutions with it, and how leaders turn ordinary teams into highly effective ones.

Digital World

Business Solutions

Leadership

Maturity

PRESENTED BY

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What we will cover

Strategy first, then execution, then people. People is the part most organisations get wrong.

01 Gen AI in the digital world

What actually changed for business

02 Where advantage now comes from

Why the model itself is not the moat

03 Strategic choices

Adopt, embed or transform

04 Building a solution

Six steps from idea to something in production

05 Build, buy or blend

Choosing the right route

06 Measuring value

Proving it worked, in business terms

07 Leading the change

Why most failures are cultural, not technical

08 Five levels of an AI-enabled employee

From curious to force multiplier



01

Gen AI in the Digital World

What genuinely changed, and what did not.

Four things Gen AI changed for business

The technology is impressive. The change in expectations is what matters.

Content became cheap

Producing text, images and video is no longer the bottleneck. Judgement is.

Software learned language

Anyone can now instruct a system in plain words instead of through a form.

Expertise spread out

A junior with good tools can produce work that used to need a specialist.

Speed became the norm

Ideas can be prototyped in days, so slow competitors fall behind faster.

Fundamentals still decide who wins

WHAT AI CHANGED

The cost and speed of doing work

- Drafting, summarising and analysis are fast
- Language is now a valid interface
- Small teams can produce a lot
- Prototypes are cheap to test
- Personalisation is affordable at scale

WHAT STAYED THE SAME

The things that make a business work

- Customers still need a real problem solved
- Trust still takes years to build
- Bad processes get faster, not better
- Someone still has to decide and own it
- Execution still beats intention

IN SHORT AI amplifies whatever you already are. Strong operations get stronger; weak ones get faster at being weak.



The model is not the moat

Everyone has access to the same models. That is exactly why they are not the differentiator.

Your data

Competitors can rent the same model. They cannot get your customer and operational history.

Your workflow

Advantage comes from AI embedded in a process, not from a licence.

Your people's skill

Teams who know how to direct AI get far more from the same tool.

Your trust

Customers share more with organisations they trust, which makes your data better still.

Three levels of ambition

Most organisations should be doing all three at once, at different speeds.

L3

Transform

Change what the business sells or how it is priced.
Highest risk and highest return.

L2

Embed

Build AI into core workflows and products. Slower, and much harder to copy.

L1

Adopt

Give teams approved tools and training. Quick wins, low risk, easy to copy.

02

Developing AI-Based Business Solutions

From an interesting idea to something that runs.

Six steps from problem to production



Step one is where projects are won or lost. 'We should use AI' is not a problem statement.

Write the problem before the solution

A good AI project can be described in one sentence, with a number in it.

- Who has the problem, and how often?
- How is it handled today, and what does that cost?
- What does success look like as a number?
- What happens if the AI gets it wrong?
- Who owns the outcome once it ships?

Weak framing

"Let's add AI to customer service."

Strong framing

"Cut first-response time on the 4,000 routine monthly tickets from 6 hours to 15 minutes."

Why it matters

The second one can be built, measured and defended in a budget meeting.

Build, buy or blend

Route	What it means	Best when	Watch out for
Buy	Use a ready-made AI product	The need is common and speed matters	Weak fit and ongoing licence cost
Blend	Configure a platform with your own data	You need your context but not custom code	Lock-in to one vendor
Build	Develop on top of model APIs	The workflow is your differentiator	Cost, talent and maintenance

Buy for common problems. Build only where it is genuinely your competitive edge.

Three numbers a sponsor will ask for

If you cannot measure it, you cannot defend the budget next year.

Time

Hours returned

Hours saved per month across the team, valued at a realistic hourly cost.

Quality

Error and rework rate

Fewer mistakes, fewer escalations, fewer things done twice.

Outcome

Business result

Revenue, retention, cost or risk moving in the right direction.

Always measure against a baseline captured before you started. Without a baseline, every result is an opinion.

Four failure patterns, and the fix

Most AI projects fail for management reasons, not technical ones.

Technology-first

- Started from the tool, not the problem
- Fix: write the problem statement first

Pilot purgatory

- Endless demos, nothing in production
- Fix: set a go or stop date up front

No owner

- IT built it, nobody runs it
- Fix: name a business owner on day one

No adoption

- It works, but nobody uses it
- Fix: involve users while building, not after



03

Leadership and People

The hardest part is never the technology.

Six things leaders must actually do

Adoption is a leadership behaviour, not a training budget.

Go first

Use the tools yourself. Teams copy behaviour, not memos.

Make it safe

If people fear replacement, they hide what they automate.

Be clear on limits

Publish what is allowed, so people stop guessing.

Fund the learning

Protected time to practise beats another tool licence.

Reward sharing

Celebrate the person who shares a working prompt, not just the biggest project.

Redesign the work

If the process stays the same, you get a faster version of yesterday.



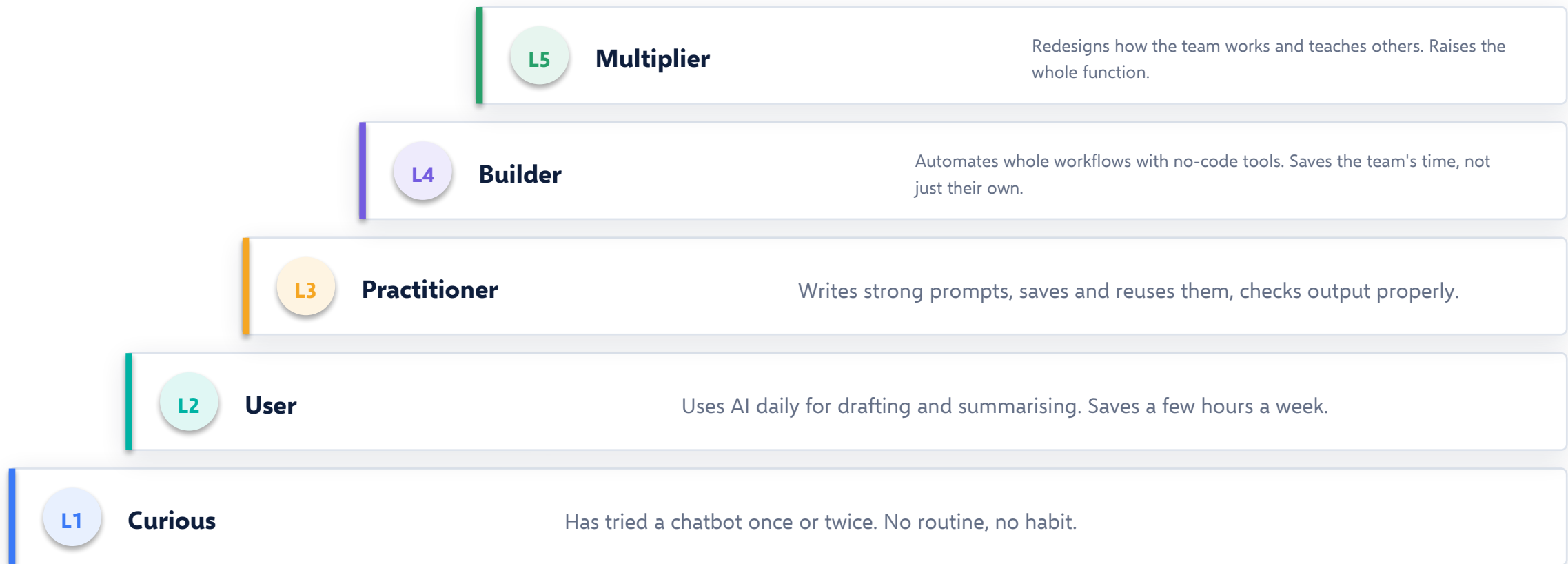
04

From Employee to Force Multiplier

Five levels of AI capability in a team.

Five levels to a super-efficient employee

Most people are stuck between level 1 and 2. The value is at 4 and 5.



What it takes at each step

Level	Behaviour	Value created	What unlocks the next level
1 · Curious	Occasional experiments	Almost none	A relevant use case in their own job
2 · User	Daily drafting and summarising	A few hours a week	Learning the five-part prompt recipe
3 · Practitioner	Reusable prompts, verified output	Consistent quality and speed	Exposure to no-code automation
4 · Builder	Automates real workflows	Whole-team time savings	Authority to change how work is done
5 · Multiplier	Redesigns and teaches	Function-level performance	A role that rewards enabling others

Notice the pattern: the first three levels are skill. The last two are permission.



What stays valuable as AI gets better

Notice what is missing: producing the first draft.

- **Asking the right question**

Framing the problem is the work AI cannot do for you.

- **Judging quality**

Knowing when a confident answer is actually wrong.

- **Context**

Understanding your customers, your business, your constraints.

- **Decision-making**

Choosing under uncertainty, and owning the consequence.

- **Communication**

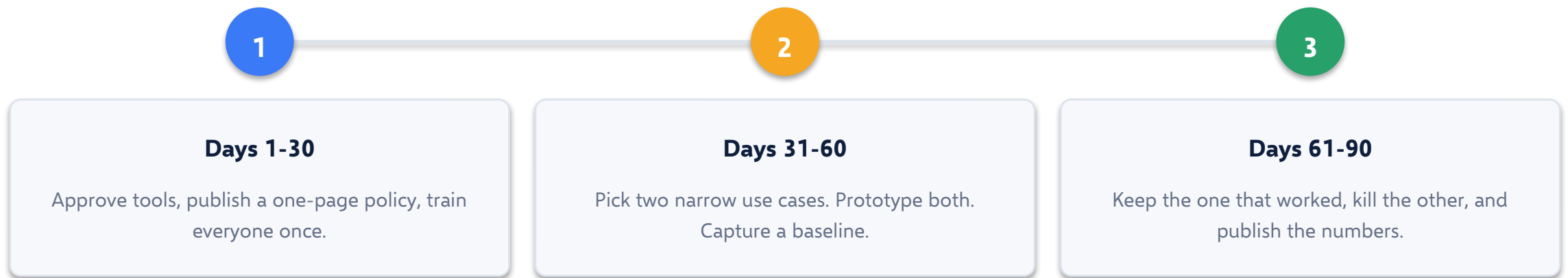
Persuading people, which is still a human-to-human act.

- **Learning speed**

The tools will change again. The ability to adapt is the real asset.

A realistic first 90 days

Small, fast, measured - then repeat.



Publishing real numbers - including the failure - is what earns budget and trust for the next round.

THE CLOSING THOUGHT

**Strategy is not choosing a model. It is
choosing which work to redesign.**

The tools are available to everyone. What you do with them is not.

Key takeaways

Unit 5 in six lines.

1

Gen AI made content cheap and judgement valuable

The bottleneck moved from producing to deciding.

2

The model is not the moat

Your data, workflow, people and trust are.

3

Adopt, embed, transform - run all three

Different speeds, different levels of risk.

4

Start from a problem with a number in it

Frame it, prototype in weeks, measure against a baseline.

5

Most failures are management failures

No owner, no adoption, no decision date.

6

The value is at levels four and five

Builders and multipliers, unlocked by permission as much as skill.



Thank you

That completes the five units — from what AI is, through tools and applications, to governance, strategy and leadership.

QUESTIONS TO THINK ABOUT

- Which one workflow would you redesign first, and why that one?
- What level are you on the ladder today, and what is your next step?
- What will your organisation do with the time AI gives back?